Business Administration - Graduate Level Assessment 3 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. George put 500$into an account that bears interest at the rate of$8

   2. \$925.00
   3. \$890.42
   4. \$650.00
   5. \$785.53
   6. \$600.00

Atapedecksells for 200.$The dollar markup is$80. Find the percent markup based on the selling price.

(a) 40 %
(b) 30%
(c) 20 %
(d) 80 %
(e) 45%

If a stock pays a \$5 dividend this year, and the dividend has been growing 6% annually, what will be the stock's intrinsic value, assuming a required rate of return of 12%?

(a) 85.67
(b) 90.12
(c) 78.46
(d) 82.19
(e) 100.50

A note bearing interest at 7% for 60 days with a face value of \$3,000 was issued on September 25. On November 1, the note was discounted at 5 (1/2)%. What were the proceeds?

(a) \$3035
(b) \$2,985.75
(c) \$3,000
(d) \$3024.34
(e) \$210

Mr.Allynreceived a note for \$1800 bearing interest at 6% for 90 days, dated March 31 and due June 29. On April 20, his bank discounted the note at 6%. What were the proceeds?

(a) \$1830.00
(b) \$1785.00
(c) \$1810.00
(d) \$1799.50
(e) \$1775.32

True / False (10 marks)

Answer True or False

6. True or False: The percent markup on a camera based on the selling price is 20%.
7. True or False: The term of discount for the same note is 60 days, as it exceeds the three-month payment period.
8. True or False: The interest Paul will pay on a 60-day loan of $823at4$
8. True or False: The final amount after five years of monthly $500depositsat8$
8. True or False: The interest Paul will have to pay on a loan of $677.21for90daysatarateof4$

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the sum of the years' digits method of depreciation by calculating the depreciation expense for the seventh year of Bob Franklin's car purchased for \$10,000 with a 10-year lifespan and no residual value.
12. Discuss the significance of integrity in corporate governance and analyze its absence as a principle in the Combined Code of Practice. What implications does this have for business practices?

End of Paper